

FINANCIAL SKILL

Again and again in this discussion of production, marketing and research, the terms *profit* and *profit margin* have been used. In a large company with a diverse product line, it is not a simple matter to be sure of the cost of each product in relation to the rest, as most costs other than materials and direct labor are spread over a number of such products, maybe over all of them. Companies with above-average financial talent have several significant advantages. Knowing accurately how much they make on each product, they can make their greatest efforts where these will produce maximum gains. Intimate knowledge of the extent of each element of costs, not just in manufacturing but in selling and research as well, spotlights in even minor phases of company activity the places where it is logical to make special efforts to reduce costs, either through technological innovations or by improving people's specific assignments. Most important of all, through skillful budgeting and accounting, the truly outstanding company can create an early-warning system whereby unfavorable influences that threaten the profit plan can be quickly detected. Remedial action can then be taken to avoid the painful surprises that have jolted investors in many companies. Nor do the "goodies" that accrue to investors from superior financial skills stop at this point. They usually lead to a better choice of capital investments that bring the highest return on the company's investment capital. They also can lead to better control of receivables and inventory, a matter of increasing importance in periods of high interest rates.

To summarize: The company that qualifies well in this first dimension of a conservative investment is a very low-cost producer or operator in its field, has outstanding marketing and financial ability and a demonstrated above-average skill on the complex managerial problem of attaining worthwhile results from its research or technological organization. In a world where change is occurring at an ever-increasing pace, it is (1) a company capable of developing a flow of new and profitable products or product lines that will more than balance older lines that may become obsolete by the technological innovations of others; (2) a company able now and in the future to make these lines at costs sufficiently low so as to generate a profit stream that will grow at least as fast as sales and that even in the worst